HOUSE BILL 1945
By Love

SENATE BILL 1662

By Gardenhire

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 49; Title 9 and Title 49, relative to funding for intercollegiate athletic programs.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 49, Part 1, is amended by adding the following as a new section:

(a) A vendor shall pay the council a fee in an amount equal to twenty-five percent (25%) of all compensation and payments received by the vendor from a licensee pursuant to a revenue sharing agreement. A vendor shall pay the council no later than thirty (30) days after the vendor receives the compensation or payment from a licensee pursuant to a revenue sharing agreement. The payments must be deposited into the public institution athletic program fund established by § 49-7-3202 to support this state's public institutions and their athletic programs.

(b) Each vendor and licensee shall provide all necessary information to support the fee as provided in subsection (a) to the council. Information provided to the council pursuant to this subsection (b) must be kept confidential due to the proprietary nature of such information and must not be open to public inspection pursuant to title 10, chapter 7.

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 7, is amended by adding the following as a new part:

49-7-3201. As used in this part:

(1) "Athletic program" means an intercollegiate athletic program at a public institution;

(2) "Commission" means the Tennessee higher education commission;

(3) "Eligible recruiting expenses":

(A) Means all expenses that a public institution or its athletic program incurs attributable to the recruitment of intercollegiate athletes;

(B) Includes expenses for lodging, meals, telephone use, and transportation for both recruits and personnel engaged in recruiting, other expenses for official and unofficial visits, and expenses for printing recruiting materials, creating recruiting videos, and mass mailings; and

(C) Does not include payments, benefits, or other forms of remuneration that are provided to an intercollegiate athlete pursuant to § 49-7-2802(a);

(4) "Intercollegiate athlete" means:

(A) A student who is enrolled in a public institution and participates in an athletic program; or

(B) A prospective student who has started or completed ninth grade and can, in the future, enroll in a public institution and participate in an athletic program;

(5) "Intercollegiate sport" means a sport played at the collegiate level for which eligibility requirements for participation by an intercollegiate athlete are established by an athletic association as defined in § 49-7-2801; and

(6) "Public institution":

(A) Means a four-year public institution of higher education located in this state that competes in at least three (3) intercollegiate sports in an academic year; and

(B) Does not include an institution of higher education governed by the board of regents of the state university and community college system.

49-7-3202.

There is established a special account in the state treasury to be known as the "public institution athletic program fund," hereinafter referred to as the "fund" to assist public institutions and their athletic programs with eligible recruiting expenses. The fund must be administered by the Tennessee higher education commission.

49-7-3203.

(a) The fund consists of monies derived from the fee as provided in SECTION 1 deposited into the fund. The commission may accept other funds, public or private, by way of gift or grant to the fund. Any such gift or grant must be deposited into the fund to be expended in accordance with this part.

(b) Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year must not revert to the general fund, but must be carried forward until expended in accordance with this section.

(c) Moneys in the fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6, for the benefit of the fund. Interest accruing on investments and deposits of the fund must be credited to the fund, must be returned to the fund, and must remain part of the fund.

(d)

(1) Moneys in the fund must be used by the commission to administer and distribute grants authorized by this subsection (d).

(2) The commission may award grants to public institutions to assist with eligible recruiting expenses. Administrative expenses of the commission must not exceed five percent (5%) of a grant awarded.

(3) The commission shall develop a formula for distributing the grants among public institutions that:

(A) Determines the number of full-time equivalent undergraduate students enrolled as students at each public institution; and

(B) Utilizes inverse enrollment weighting, with public institutions with fewer enrolled students receiving higher grant amounts and public institutions with more enrolled students receiving lower grant amounts.

(e) The commission shall prioritize awarding grants to the six (6) locally governed state universities and shall establish procedures for grant applications.

49-7-3204.

The commission may adopt rules necessary for the administration of this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

49-7-3205.

The commission shall submit a report to the speakers of the house of representatives and the senate, the chair of the education committee of the senate, the chair of the committee of the house of representatives having jurisdiction over education matters, and the legislative librarian, no later than December 31, 2026, and each December 31 thereafter, regarding the commission's administration of the fund. The report must include the obligated and unobligated balances of the fund as of June 30 of the reporting calendar year and the grants awarded in the immediately preceding fiscal year. Grant information must include the amount of the grant awarded, the recipient of the grant, and the impact the grants have had on the recipient's ability to attract talented intercollegiate athletes and compete nationally.

SECTION 3. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.